

life. In engineering, there is always a right answer. All of a sudden, I am faced with economics where there are all these shades of gray. I was fascinated by it. Our economics professor suggested that we subscribe to the *Wall Street Journal*, which I did. Every day I would see these ads for precious metals and energy. This was in the late 1970s, when inflation was in double digits. At the time, my money was in a savings account earning the minimum interest rate, which was much less than the rate of inflation. I thought I should check into buying metals. So I responded to one of the ads in the *Wall Street Journal* and bought gold, silver, and copper.

Were these futures you bought?

No, it was over-the-counter metals. I opened an account with First Commodity Corp of Boston (FCCB), which charged an exorbitant commission rate. I'm not proud of that decision, but I guess it shows I was a sucker for their marketing. I believe the CFTC shut them down for improper disclosures.

Why didn't you buy futures instead?

I was a novice. I didn't know about futures. This was my entrée into buying metals.

How did you know what the prices were since you weren't going through an organized market?

The prices were pegged off the futures market.

So you bought and sold at a futures linked price, but they charged you an exorbitant commission. I don't get it.

The way it worked was that FCCB charged you a flat fee of \$1,200 per market, and then you could buy and sell as much as you wanted in that market for six months. But they would try to get you to trade in another market, so they could charge you another \$1,200. If you were trading silver, they would try to talk you into doing a trade in copper.

But since the prices were pegged to futures, didn't you think of just going directly to futures?